# Introducing Kamino Fixed Rates: Fixed-Rate, Fixed-Term Borrowing Infrastructure

Launching with FalconX as the first institutional fixed-rate borrower on Solana

Introducing Kamino Fixed Rates, a new way to borrow onchain, designed to service the next generation of institutions and tokenized assets on Solana.

Via Kamino's Fixed Rates infrastructure, borrowers can lock in an interest rate for a defined term, enabling predictable cost of capital regardless of pool utilization or market conditions.

As part of Kamino's larger institutional & RWA product suite, Fixed Rates is purpose-built to make Kamino the home of onchain fixed-income strategies.

> *"We're witnessing a Cambrian explosion of asset issuance onchain - treasuries, bonds, credit funds, and structured products. Until now, DeFi lacked the infrastructure to support these assets in a meaningful way. Fixed Rates fills a critical gap in the DeFi credit ecosystem, creating an opportunity for institutions and asset issuers to deploy borrow strategies predicated upon fixed cost of capital, directly onchain. This is a major step in DeFi's journey to reaching parity with traditional finance."*
>
> \- Marius Ciubotariu, Co-Founder, Kamino

## Why Fixed-Rate Infrastructure Matters

Real world asset activity onchain has grown rapidly, with ~350% year-over-year expansion and over $18B now circulating across tokenized T-bills, money-market funds, private credit, and receivables.

These assets introduce yield profiles that - while differing by structure - are generally more stable than typical DeFi-native returns. When coupled with variable borrow rates, this creates a structural mismatch: assets with more predictable yield behavior are being funded by liabilities with volatile borrow rates. As a result there are challenges in modeling spreads and sizing leverage.

Alongside this tokenization wave, we're seeing unprecedented institutional interest in leveraging DeFi for financial strategies. Institutions need fixed rates for predictable funding costs, cleaner risk management,  and financing structures that align with their quarterly/ annual planning cycles.

Fixed-rate credit infrastructure delivers this. By providing consistent funding terms that match the yield profiles of tokenized assets, it enables institutions to evaluate and manage onchain strategies with confidence.

This makes fixed-rate credit a core requirement for scaling RWA activity and institutional participation in DeFi.

## How DeFi Falls Short Today

Almost all of DeFi credit markets operate on floating rate infrastructure - rates are determined by pool utilization, and as a consequence can swing from 3% to 10% overnight. This is untenable for RWA or long-term institutional strategies.

A user running a looping strategy with PRIME by Figure Markets, for example, can sustain borrow costs up to 8%. Beyond that point, however, the economics break. Similarly, an institution extending credit lines at 7% cannot afford its cost of capital spiking to 10% - the margin disappears.

This holds true for the majority of RWAs and institutions moving onchain - they require a fundamentally different, far more predictable borrowing mechanism.

Kamino Fixed Rates provides this infrastructure.

## What We're Launching

**Fixed Rate. Fixed Term.** Borrowers can originate a loan against their collateral, selecting from a set of available interest rates, and a set of durations. Once locked in, your cost of capital is fixed for the entire duration of the loan.

**Conditional Liquidity.** Vault Managers allocate conditional liquidity to a set of fixed rate pools. Vault capital continues to earn floating yield until a borrower originates a loan, then capital allocates instantly to the fixed rate loan. No idle capital for lenders. Instant execution for borrowers. At launch, lenders will be able to tap into fixed rates via curator-managed lending vaults - with the ability to directly fill fixed rate loans to come.

**Atomic Execution.** Borrowers see available terms, select what works, and execute in a single transaction. The fixed-rate loan is live immediately.

**Auto-Rollover.** Fixed-rate loans have defined expiries. Borrowers can select what happens at maturity, with Auto-Rollover enabled by default. Via Auto-Rollover, loans refinance automatically if liquidity permits. If Auto-Rollover is enabled, but does not get filled during rollover period (ie.liquidity constraints), the loan rolls over into the floating rate pool. This ensures that lenders always receive their funds if they wish to withdraw, whilst borrowers can continue to borrow.

**Same (Battle-Tested) Infrastructure.** At its core, Kamino's Fixed Rates product runs on the same Kamino Lend smart contract that has been battle tested for over 2 years. To date, Kamino has had zero incidents, and Kamino lenders have incurred zero bad debt, with 18 audits completed across its smart contract stack, alongside day-one open source and 3 formal verifications.

## Why Kamino is the Right Platform

Institutions choose track record and security first. Kamino delivers:

| Metric | Value |
|---|---|
| Live in Production | **>2 years** |
| Loans Originated | **$100B+** |
| Liquidations Processed | **$183M** |
| Bad Debt | **$0** |
| Security Audits | **18** |
| Formal Verifications | **3** |
| Codebase | **Open Source & Verifiably Built** |

For over 2 years, Kamino's lending stack has evolved to be transparent, secure, and versatile. With the rollout of our institutional and RWA product suite, Kamino can accommodate highly customizable credit workflows - while retaining the battle-tested smart contract infrastructure at the protocol's foundation since launch.

> *“Kamino Lend has evolved into a critical credit instrument for our desk. Now moving beyond short-term liquidity, Kamino is providing the term structure necessary to operationalize our Asset-Liability Management. By locking in fixed rates leveraging Kamino’s unique pool of liquidity and broad collateral support, we can minimize rate volatility and duration-match in a unique way within the DeFi ecosystem.”*
>
> *– Craig Birchall, Head of Lending, FalconX*

## What's Next: Borrow Intents

Fixed Rates gives borrowers predictability. Borrow Intents gives them agency.

In DeFi today, borrowers are takers. They can choose only to accept or reject the floating rate in a given pool. With Borrow Intents, for the first time ever, borrowers can become makers on Kamino. Post an onchain instruction with your desired loan parameters - amount, rate, and term, and lenders can fill your order.

In essence, a limit order for credit.

Combined, Fixed Rates and Borrow Intents create order-book dynamics for lending - real price discovery driven by supply and demand, without algorithmic utilization curves.

Borrow Intents creates borrower and lender dynamics that had previously only been possible in TradFi, with the transparency and speed of DeFi.

Borrow Intents will follow soon after the Fixed Rates launch.

## Get Started

At launch, our first product in this category will be USDC loans at 1-3 month fixed term durations. Get in touch for more details below.

For fixed rate product enquiries: **partnerships@kamino.finance**

For institutions and RWA issuers: **institutions@kamino.finance**